

Now a bit of context regarding my financial assets: Some 87 members of the elite now named on the *Forbes* 400 listing the nation's wealthiest individuals have made their fortunes in the financial field—through either entrepreneurship, or speculation, or hard work, or sheer good luck. As it happens, most founders of investment management firms (and often their successors, too) have accumulated truly enormous wealth. The lowest-ranking financial person on the list has wealth estimated at \$1.3 billion, and the highest-ranking (Fidelity's Johnson family) is worth some \$25 billion.

I have never played in that billion-dollar-plus major league; nor, for that matter, even in its hundred-million-dollar-plus minor league. Why not? Simply because as the founder of Vanguard, I created a firm in which the lion's share of the rewards would be bestowed on the shareholders of the truly *mutual* mutual funds that compose the Vanguard Group. In fact, cumulative savings to our shareholders vis-à-vis the shareholders of our peers will soon exceed \$100 billion.

These savings arise largely because we operate, as you have read earlier, on an "at-cost" basis. As a result, our management company, Vanguard—which is owned not by me but by our mutual funds—essentially earns a net income of zero. Nonetheless, through the Partnership Plan I described earlier, I've been paid generously,²⁵ sharing in the enormous growth of our fund assets, the superior returns earned by our funds, and our successful quest to slash the unit costs borne by our shareholders.

So, in comparison to nearly all, if not all, of my peers in this business, I'm something of a financial failure. (Perhaps they are amused by the fact that they are so much wealthier than I!) I suppose you could say that failure was intentional (not that I had any premonition that we would grow to such a huge size, nor, in truth, any idea of how much I might be giving up by creating Vanguard's mutual structure).

But I'm doing just fine, thank you, for three reasons. First, I was born and raised to save rather than spend. I don't go for extravagance, and it still hurts me a bit to spend on things that are not necessities. I confess, however, that I have periodically, if reluctantly, broken those two rules. I have, for example, a weakness